

Kailash Chandra Sharma v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors.

Allahabad High Court · Division Bench · 13 August 2019 · Writ - C No. 67360 of 2009 · **Writ allowed; final assessment dated 26.06.2009 and undated recovery of Rs.18,43,592 set aside; licensee may proceed afresh by supplying papers within two weeks, with a speaking final order within four weeks of objections**

HEADNOTE

A final assessment and the recovery that follows cannot stand where the licensee has not served the checking report or the provisional assessment so as to enable objections under Clauses 6.8 and 8.1 of the U.P. Electricity Supply Code, 2005. A note on the checking report that the consumer or his representative had left the place does not amount to service, and does not excuse the licensee from supplying a copy of that report. An evasive counter-affidavit that the department 'has made assessment accordingly with law' does not prove an opportunity to object. The Division Bench set aside the final assessment dated 26.06.2009 and the undated recovery citation for Rs.18,43,592 as passed in violation of the Code procedure. The licensee may proceed afresh by supplying the necessary papers within two weeks of production of a certified copy; the consumer may then object; and the competent authority shall decide by a reasoned speaking order within a further four weeks. The Court did not decide whether theft or unauthorised use was made out, or the quantum of the demand.

FACTUAL SUMMARY

Kailash Chandra Sharma filed Writ-C No. 67360 of 2009 against Paschimanchal Vidyut Vitran Nigam Ltd. challenging a final assessment dated 26 June 2009 and an undated recovery citation for Rs.18,43,592. He pleaded that officials had conducted a spot checking but had not supplied copies of the checking report or any provisional assessment, so he could not object before the final order. The checking report (Annexure 3) recorded only that he or his representative had left the place. At the first listing on 16 December 2009 he denied theft, saying he had himself reported a cracked meter seal and that MRI and pole-meter readings at his business place differed by only about 1%; the Division Bench stayed recovery and called personal counter affidavits from respondents 4, 5 and 6. After an 8 January 2010 illness-slip pass-over, Ramesh Sinha and Ajit Kumar, JJ. heard and allowed the writ on 13 August 2019.

REUSABLE CONSTRUCTIONS

1. A final assessment and recovery cannot stand where the checking report and the provisional assessment were not served so as to enable objections under the U.P. Electricity Supply Code, 2005. ¶ **order of 13.8.2019**
2. A note on the checking report that the consumer or his representative had left the place is not service, and does not excuse the licensee from supplying a copy of that report so that objections can be filed before a final assessment. ¶ **order of 13.8.2019**
3. An evasive counter-affidavit that the department assessed 'accordingly with law', without showing service or an opportunity to object, does not establish compliance with Clauses 6.8 and 8.1. ¶ **order of 13.8.2019**
4. Where that procedure is breached, the assessment and recovery are set aside with liberty to proceed afresh after supplying the papers, receiving objections, and passing a speaking final order. ¶ **order of 13.8.2019**

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1

Non-service of the checking report and provisional assessment vitiates a final theft assessment and recovery

QUESTION

May a licensee sustain a final assessment and recovery where the checking report records only that the consumer had left the place, no copy of that report or of the provisional assessment was served, and the counter-affidavit does not show an opportunity to object under Clauses 6.8 and 8.1?

HOLDING

No. The petitioner assailed the final assessment dated 26.06.2009 and an undated recovery of Rs.18,43,592, pleading that copies of the checking report and the provisional assessment had not been supplied, in violation of Clauses 6.8 and

8.1. The checking report did not indicate service except a note that the petitioner or his representative had left the place; even then the licensee was not restrained from supplying a copy so that he could object before a final assessment. The counter-affidavit's reply that the department had assessed 'accordingly with law' was an evasive denial, and the 26.06.2009 order itself did not reflect any opportunity beyond the checking and a provisional assessment. That order and the undated recovery were set aside as passed in violation of the Code procedure, with liberty to proceed afresh by supplying the papers within two weeks, receiving objections, and deciding by a speaking order within a further four weeks. The writ was allowed to that extent. ¶ [order of 13.8.2019](#)

FLAG Unnumbered order-sheet (interim 16.12.2009; illness-slip 8.1.2010; disposal 13.8.2019). Pins refer to the 13.8.2019 order. The 2019 Bench cited Clauses 6.8 and 8.1 together as pleaded, without choosing between unauthorised use and theft. The 16.12.2009 order characterised the demand as theft (cracked meter seal / stealing electricity); keyed to Clause 8.1 on that footing. The 2019 order did not decide the 16.12.2009 show-cause to respondents 4–6 on alleged malicious checking.

HOLDING-UNIT · UP-2005::6.8

The same non-service also vitiates a final assessment under Clause 6.8 as pleaded

HOLDING

The petitioner's ground that Clauses 6.8 and 8.1 had been virtually violated was accepted. The same non-service of the checking report and of a provisional assessment, and the same want of an opportunity to object, vitiated the 26.06.2009 final assessment under the Clause 6.8 procedure as pleaded, and that order and the undated recovery were set aside with liberty to proceed afresh. ¶ [order of 13.8.2019](#)

FLAG The 2019 Bench did not decide whether the demand was unauthorised use (6.8) or theft (8.1); this unit records the 6.8 limb of the dual citation.

PRINCIPLE TAGS

proper-service-of-provisional-assessment-notice-clause-6.8 The checking report recorded only that the petitioner or his representative had left the place; that was not service, and neither the report nor a provisional assessment was shown to have been supplied so as to enable objections. ¶ [order of 13.8.2019](#)

para-6.8-non-compliance-vitiates-assessment-and-recovery Non-compliance with the Code procedure for service and objections led to the 26.06.2009 final assessment and the undated recovery of Rs.18,43,592 both being set aside. ¶ [order of 13.8.2019](#)

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was held violated because the petitioner was denied the chance to reply or object before the 26.06.2009 final assessment; that order and recovery were quashed and a speaking final order directed after objections. ¶ [order of 13.8.2019](#)

opportunity-before-final-assessment A final assessment cannot rest on a checking report that was not served and a counter-affidavit that does not show an opportunity to object; the 'final' order is set aside and a fresh cycle of papers, objections and a speaking order is directed. ¶ [order of 13.8.2019](#)

assessment-order-quashed-and-remitted-for-hearing The writ was allowed; the 26.06.2009 assessment and undated recovery were set aside, with the matter left open for the licensee to supply papers, receive objections, and pass a reasoned final order. ¶ [order of 13.8.2019](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THEFT OR UNAUTHORISED USE WAS IN FACT COMMITTED, INCLUDING THE 16.12.2009 PLEA OF A SELF-REPORTED CRACKED METER SEAL AND A 1% MRI/POLE-METER DIFFERENCE
The 2019 order decided only the Code procedure; merits left to the fresh speaking order after papers are supplied and objections filed. ¶ [order of 13.8.2019](#)

NOT DECIDED — QUANTUM OF THE RS.18,43,592 DEMAND
The recovery citation was set aside with the assessment; quantum was not examined. ¶ [order of 13.8.2019](#)

NOT DECIDED — WHETHER THE DEMAND IS UNAUTHORISED USE UNDER CLAUSE 6.8 OR THEFT UNDER CLAUSE 8.1
The 2019 Bench recited both clauses as pleaded without choosing; the 16.12.2009 order had characterised the allegation as theft. ¶ [order of 13.8.2019](#)

NOT DECIDED — WHETHER THE ACTION OF RESPONDENTS 4, 5 AND 6 WAS MALICIOUS IN LAW SO AS TO FIX PUBLIC ACCOUNTABILITY

Notice to file personal counter affidavits issued on 16.12.2009; the 2019 disposal does not decide that show-cause.

¶ order of 16.12.2009

SCJ-3068 · Kailash Chandra Sharma v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.